higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

SALES MANAGEMENT N5

29 MAY 2019

This marking guideline consists of 8 pages.

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SECTION A

QUESTION 1

1.1	1.1.1	D
	1.1.2	B
	1.1.3	C
	1.1.4	A
	1.1.5	D
	1.1.6	C
	1.1.7	B
	1.1.8	A
	1.1.9	D
	1.1.10	C

(10 × 2) (20)

1.2	1.2.1	False
	1.2.2	True
	1.2.3	False
	1.2.4	False
	1.2.5	True
	1.2.6	True
	1.2.7	False
	1.2.8	False
	1.2.9	True
	1.2.10	False
	1.2.11	True
	1.2.12	True
	1.2.13	False
	1.2.14	False
	1.2.15	True

(15 × 2) (30)
[50]

TOTAL SECTION A: 50

SECTION B

QUESTION 2

2.1
- To ensure customer satisfaction
- To make the customer feel important
- To ensure customer loyalty
- To build strong long-term relationships with customers
- To provide support to customers
- To handle complaints/enquiries
- To provide customer care and after-sales service (Any 5 × 2) (10)

2.2
- Nature of the sales job
- Nature of the product (10)

- Stage of market development
- Intensity of market coverage
- Intensity of competition (5 × 2)

2.3 2.3.1
- Based on the prospect's need and problem, the salesperson develops questions in his approach
- The question should be worded in such a way that it arouses the prospect's attention and interest.

2.3.2
- The salesperson wants to create fear, anxiety and shock in the prospect to get his attention.
- The salesperson can use a real case or scenario of an incident that happened to someone the prospect knows well.
- Salespeople selling insurance or security products can successfully use this approach.

2.3.3
- In this approach, the product speaks for itself.
- The salesperson builds his or her approach entirely around the product.
- Used especially where the product is very unique and attractive.
- The product itself will grab the prospect's attention and interest.

2.3.4
- This approach is based on every person's desire to receive gifts or something free.
- The salesperson looks for something on which he can complement the prospect, be it his house or business.
- This technique does not work with all prospects.

(4 × 4) (16)

2.4
- Ask more specific questions
- Convert the objection into an advantage
- Provide proof
- Agree and qualify
- Provide more information
- Overcome objections by agreeing
- Compare products and service
- Show the prospect what a delay could cost
- Relate the product to the prospect's buying motives
- Limit objections (Any 5 × 2) (10)

2.5 Personal selling is the oral and physical offering✓of a product by a salesperson to one or more prospective buyers with the purpose of identifying a problem or problems✓ the product or service can solve to close the sales transaction at a profit✓ for the company represented by the salesperson and to give after-sales service to the customer's satisfaction.✓ (4)

[50]

QUESTION 3

3.1
- Creativity, resourcefulness and imagination
- Self-motivation to attain goals (10)

- Persuasive and mentally sharp
- Self-confidence and self-assurance
- Social person and service-orientated
- Perseverance and drive
- Observant, sharp-witted and studious
- Adaptable and versatile
- Reliable, responsible and punctual
- Empathy, tolerance and understanding (Any 5 × 2)

3.2
- Customer services
- Handling complaints
- Handling returns and adjustments
- Credit applications
- Other supplementary services (Any 4 × 2) (8)

3.3
- A centre of influence is usually a person or an organisation that has gained honour, respect and admiration in the community, business and industry, and to whom others look up.
- People respect such a person's judgement and are keen to follow his or her example in everything he or she does.
- Salespeople must use their existing customers who qualify as centres of influence as references once they have obtained permission to do so.
- Influence centres can be attorneys, doctors, ministers, actors/actresses, and sportspeople, et cetera.
- For example: Christiano Ronaldo of Juventus for Nike, Lionel Messi of Barcelona for Adidas, Pepsi or Lays
- Simphiwe Tshabalala of Kaizer Chiefs as the brand ambassador for Fish & Chips (Accept any 5 × 2) (10)

3.4
- Plan each demonstration individually
- Suit the sales talk to the demonstration
- Be prepared (prior arrangements for demonstration)
- Cover the most important product features
- Get the prospect involved
- Demonstrate step by step
- Maintain control
- Establish time and pace for demonstration
- Close and follow up demonstration (9 × 2) (18)

3.5
3.5.1 The minor question technique
3.5.2 The inducement technique
3.5.3 The emotional closing technique
3.5.4 The standing room only technique

(4 × 1) (4)

[50]

QUESTION 4

4.1 Jury of executive opinion
- Uses experts with years' experience.

- Executives meet and offer their opinions on the forecast for the period in question.
- This method is subjective.
- Useful in situations where no previous data is available
- Used when a new business is started, a new product line is launched or a business plans to sell in a new area

Delphi technique

- This method uses the opinions of executives without face-to-face discussions.
- Opinions are given anonymously.
- This creates a more accurate forecast than the jury of executive opinion.
- This method is more structured and more objective than the jury of executive opinion.

Sales force composite

- The forecaster asks every salesperson's opinion about sales who works in the field.
- Each salesperson will make a projection of his or her sales territories.
- Used if the organisation has more senior salespeople with experience
- Managers will assess the numbers and make necessary adjustments

Time-series analysis

- Uses the analysis of historical trends to predict future demand
- A time series is a set of observations on variables such as sales
- Forecasting is based on the assumptions that patterns observed in past sales can be used to predict future sales
- A time series can comprise different types of movements or variations, for example cyclical, seasonal and random variations

Users' expectations

- Also referred to as buyer's intentions
- Relies on answers from actual users/customers
- Used when customers are concentrated in a few geographical areas
- Mostly used in the case of industrial products

Indicators

- Often certain factors relate to the sales or costs associated with a product but their impact only occurs after some time has lapsed.
- A leading economic indicator is an economic factor that changes, and thereafter the economy follows a trend.
- This method is, however, complicated and single indicators are not adequate to make a forecast.

(Any 3 × 4) (12)

4.2

- Sales philosophy of the business (slogan)
- Production processes and methods
- Distribution policy
- Promotion and advertising
- Financial and credit policy

(10)

- Price policy (Any 5 × 2)

4.3
- Sales volume quotas
- Budget quotas
- Activity quotas
- Combination and point system quotas (4 × 2) (8)

4.4
- Name, address and type of business
- The history and other information about the business and personnel
- The operational functioning of the business
- Industry competitors and buying procedures
- Future perspective (5 × 2) (10)

4.5
- The product, for example, may be outdated
- Packaging might be inconvenient
- As a result of misunderstanding, delivery or distribution problems
- Competitors' lower prices
- Invoicing errors
- Poor salesmanship in terms of approach or the way sales staff handled objections (5 × 2) (10)

[50]

QUESTION 5

5.1 CONDITIONS WITHIN THE COMPANY/BUSINESS
- Any changes in a business's marketing policy or 4p's can reduce or increase sales.

- Example: If the business has to raise prices in future, this action could possibly reduce unit sales volume.
- Sales volume can go up and down depending on price elasticity.

CONDITIONS WITHIN THE INDUSTRY

- Any change in the industry has an impact on the business.
- Industry conditions can be anything that might hurt or help the entire industry.
- Example: a strike in the industry can affect the sales volume.

CHANGED MARKET CONDITIONS

- Market conditions refer to the characteristics of the market in which a business operates.
- New competitors entering the market
- Increase or decrease in the market's growth rate or any other factor affecting the primary demand for the industry's output
- Example: Rising petrol prices can decrease the demand for large cars and increase the demand for smaller cars because large cars consume a lot of fuel compared to smaller cars.

GENERAL BUSINESS CONDITIONS

- Politics, economics, laws and regulations and the natural environment are examples of general business conditions that can affect a business' sales either positively or negatively.
- Higher interest rates result in people buying fewer luxuries.
- Higher inflation rates result in people being less brand loyal, and buying cheaper product ranges. (4 × 4) (16)

5.2

- Ensures proper market coverage
- Equalises workload
- Increases salespeople's morale
- Better evaluation and control over sales force
- Better analysis and planning of sales activities
- Improves sales
- Reduces conflicts and disputes
- Improves/strengthens customer relations
- Reduces selling costs
- Improves co-ordination between selling and other marketing activities

(Any 5 × 2) (10)

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5.3
- To provide quantitative performance standards
- To obtain tighter sales and expense control
- To motivate desired performance
- To use in connection with sales contests/competitions (4 × 2) (8)

5.4
- Size of the organisation
- Type of product
- Price
- Company policy
- Risk involved
- Time pressure
- Type of purchase (Any 5 ×2) (10)

5.5
- Reduces travel time and selling cost
- Improves territory coverage

(6)
[50]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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